

25LBCV03407 25LBCV03407

County: los-angeles

Division: Civil Law and Motion

Department: S27

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Case Number: 25LBCV03407 Hearing Date: June 30, 2026 Dept: S27

1. Complaint

Plaintiffs, Leobardo and Jose

Zaragoza filed this action against Defendants, U-Haul Co. of California and U-Haul Moving and Storage of North Long Beach for general negligence. Plaintiffs rented a vehicle from Defendants, and because the vehicle had been reported stolen, they were pulled over at gunpoint. Notably, the vehicle they rented had a different license plate from the vehicle listed on their contract.

2. Motion

to Compel Arbitration

a. Facts

The basic facts relating to this motion are not disputed. Leobardo signed a contract to rent the vehicle, and the contract included an arbitration provision. The provision defined “you” to include Leobardo’s family members. Jose did not sign the contract. Jose is Leobardo’s nephew. Jose was also in the vehicle when it was pulled over, and is therefore also a named plaintiff in the action.

b. Initial

Note

In light of the Juneteenth holiday,

opposition to the motion was due on or before 6/16/26. Plaintiffs filed their opposition one day late, on 6/17/26. The Court ultimately finds Defendant did not meet its moving burden to show Jose's claims are subject to the arbitration agreement. Thus, whether the Court considers the opposition or not, the motion must be denied. The Court asks Plaintiffs' attorney to ensure Juneteenth is calendared in all cases in the future.

c. Governing
Authority

The issue on the motion is whether Jose must arbitrate his claims against Defendant in light of the fact that he did not sign the agreement, but was defined as "you" under the terms of the agreement. Defendant, in its moving papers, relies on *Jensen v. U-Haul Co. of California* (2017) 18 Cal.App.5th 295, 306 to support its position. In *Jensen*, the two plaintiffs sued U-Haul because they were in a negligently maintained truck, which blew a tire while they were driving it. Mr. Jensen's work supervisor rented the subject truck for the Jensens to use. The contract included a provision defining "you" to include the signatory's employees. The trial court denied U-Haul's motion to compel arbitration, finding the Jensens were not bound by the arbitration agreement. The court of appeals affirmed, noting there are six theories by which a nonsignatory may be bound to arbitrate, none of which were present in the case. U-Haul had argued the Jensens were third party beneficiaries of the contract, but the trial court and court of appeals rejected that contention, finding the contract did not demonstrate any express intent to benefit a third party, including Jensen specifically or employees generally; while it contemplating BINDING those employees, it did not contemplate BENEFITTING those employees. The court of appeals noted that Mr. Jensen drove the truck not for his own benefit, but for the benefit of his employer. The trial court and appellate court also rejected U-Haul's agency theory, finding employees are not typically agents of their employers. Finally, the trial court and court of appeals rejected the contention that the Jensens were estopped from repudiating the agreement, finding the claims "touched matters" relating to the arbitration agreement, but did not rely on the agreement itself to establish a cause of action.

d. Analysis

Plaintiffs argue Jensen, discussed above, supports their position that Jose's claims are not arbitrable, as opposed to U-Haul's position that the claims are arbitrable. The Court agrees with Plaintiffs. The fact that "you" is defined to include family members is no more or less relevant than the fact that "you" was defined to include employees in Jensen. U-Haul did not meet its moving burden to show that the U-Haul was rented for Jose's, as opposed to Leobaldo's, benefit. There are no facts established in the moving papers one way or the other in this regard. U-Haul did not show that an uncle is the agent of a nephew. U-Haul cited cases involving spouses and parents/children, but those are very special legal relationships not akin to an uncle/nephew relationship. U-Haul did not show estoppel, because Plaintiffs' allegations in this case "touch on" the arbitration agreement but are no more or less dependent on the agreement than the claims in Jensen – the Court cannot see a meaningful difference between renting a van that has been reported stolen and renting a van that has not been adequately maintained.

The Court finds U-Haul failed to establish Jose's claims are subject to the arbitration agreement.

e. CCP

§1281.2(d)

The parties do not discuss whether Leobaldo's claims should be submitted to arbitration in the event Jose's claims are not. CCP §1281.2(d) permits the Court to deny the motion to compel arbitration completely in the event sending some claims to arbitration and leaving others in court could result in inconsistent rulings. Such is the case here, and therefore the Court denies the motion as to each of the two plaintiffs.

The parties are reminded that there is a Case Management Conference on calendar concurrently with the hearing on the above motion. The Court asks the parties to make arrangements to appear remotely at the CMC and hearing on the

motion.